

STUDI INTERNAZIONALI

Why the EU fiscal reform is not solving national challenges in reaching NATO's military spending target

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Debt and military spending in Europe

Since 2023, military expenditure in Central and Western Europe has far surpassed the levels seen at the end of the Cold War (Nan Tian et al., 2024). However, several countries struggle to meet the NATO military spending target of 2% of gross domestic product (GDP). One of the obstacles they face is the European Union (EU) fiscal rules of the Stability and Growth Pact (SGP), which set boundaries for the debt-financed expansion of overall government expenditure. EU-NATO countries are torn between increasing their military expenditure significantly while also adhering to the EU fiscal rules. The new reform of the SGP rules will somewhat ease this dilemma—but for heavily indebted European NATO members like Belgium, Italy and Spain, sustained military spending at 2% of GDP will still require some politically difficult decisions. In 2023, despite a record number of 11 NATO allies meeting the spending target adopted in 2014, major countries were still struggling to reach their committed expenditure levels. Of the 17 European NATO members that fell short of the

spending target, 12 are members of the EU. Combined, these members of both EU and NATO were €52,3 billion short of the 2% target (see table 1). Pressure on European NATO members to raise military expenditure is growing in light of Russia's full-scale invasion of Ukraine and the prospects of a possible return to the White House by Donald Trump in 2025. Governments have three ways to finance increased spending in a specific policy area: raising taxes, cutting spending on other policy areas and taking on new debt. Established in 1997, the SGP aims to prevent financial overextension and to reduce debt financing in the long term. It sets EU member states a maximum annual level for budget deficit of 3% of GDP and a maximum level of government debt of 60% of GDP. These limits were suspended in 2020 to help cope with the economic challenges of the Covid-19 pandemic, but they were reinstated in 2024.

Table 1. Military Expenditure and Debt Levels of EU-NATO members missing the spending target in 2023

	Military Burden (as percentage of GDP)	2023 Military Expenditure (in million Euro)	Missing Military Expenditure (in million Euro)	Debt (as percentage of GDP)
Bulgaria	1,9%	1774	-105	22%
Croatia	1,8%	1331	-186	64%
Czech Republic	1,5%	4676	-1465	44%
Romania	1,6%	5189	-1209	51%
Slovenia	1,3%	840	-422	68%
Belgium	1,2%	7062	-4590	104%
Germany	1,5%	61855	-20568	64%
Italy	1,6%	32886	-8822	137%
Luxembourg	0,8%	613	-973	26%
Netherlands	1,5%	15388	-5269	47%
Portugal	1,5%	3909	-1406	99%
Spain	1,5%	21936	-7302	107%
Total EU			-52317	

Sources: [SIPRI Milex Database](#) and [World Economic Outlook](#)

While some of the EU-NATO members have plans on how they will fund the increased military spending, others are struggling to free up financial resources—mostly due to high levels of debt (Reuters, 2023a). In 2023, seven of the twelve EU-NATO states that were still below the 2% target already had debt levels higher than 60% of GDP (Eurostat, 2024). Three major economies stand out in this regard: Belgium, Italy and Spain.

The new rules of the Stability and Growth Pact

Since 2023, EU member states have been discussing a reform of the SGP to reduce the pressure on highly indebted countries amid increasing economic challenges (Tamma, 2023). In 2024, the European Parliament and Council agreed on a ‘new economic governance framework’ (European Commission, 2023). While the significant ‘reference values’ of 60% debt and 3% deficit to GDP remain, member states can now be given up to seven years to put their debt ‘on a plausibly downward path’ (*Ibidem*). Committing to ‘an increase in government investment in defence’ is one factor that could help governments win a longer adjustment period (European Commission, 2024). In short, EU member states receive some room for debt-financed fiscal maneuvers. Some of the most indebted EU-NATO members,

including Belgium, Italy and Spain, will still struggle to bring their budgets in line with SGP’s requirements within seven years, even without the kinds of additional military spending that might earn them such an extension. The World Economic Outlook expects rising debt levels for all three countries (IMF, 2024). Given its fiscal conditions, Italy’s defence minister conceded that his country would have difficulty meeting the 2% NATO target by 2028 (Reuters, 2023b). Spain has pledged to bring military spending up to 2% of GDP only by 2029 (Carreño, 2022) - Belgium only by 2035 ([Flanders News Service, 2023](#)).

Difficult choices ahead

The reform of the SGP’s fiscal rules illustrates that the EU recognizes a need for adjustments amid economic, social and security challenges. While the increased room for fiscal maneuver could help some EU-NATO countries reach the 2% target in the short term, it will not allow a debt-financed long-term increase of their military expenditure. Rather, the SGP reform buys time for governments to prepare the political ground for difficult financial choices ahead. Those measures will not be easy, or popular. Already high tax rates complicate further increases (Dorn et al., 2024).

Governments need to work with what they have: to reach NATO's spending target with current resources, Belgium would need to reshuffle 1,4% of its government expenditure to its military budget. The same measure would need a realignment of 1,1% for Spain and 0,8% for Italy. Surely, these required

spending cuts in other policy areas necessitate the investment of political capital and would dissatisfy parts of the electorate. But if EU-NATO members like Belgium, Italy and Spain are intent on meeting their NATO spending pledges without violating their EU fiscal rules, it might be their bitter pill to swallow.

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